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How the AI supercycle is reshaping global interest rates

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In Summary

- **The AI supercycle will pull long-term yields down in both the US and Europe, but for very different reasons and by very different paths.** We model this across five transmission channels – three macro (neutral rate, inflation expectations, fiscal collateral) and two micro (AI-driven duration supply and crowding-out) – applied to an AI upside and downside scenario. Over a 10-year horizon the net effect is around –50bp for both regions in the upside scenario (roughly +5pp of cumulated US potential growth, +1.6pp for the eurozone), and a prolonged, smaller drag in the downside (–2.5pp and –1.3pp respectively). The US result depends on AI productivity actually materializing to keep its fiscal trajectory intact; the eurozone gets to the same place even without the AI dividend, since its fiscal position doesn't need repairing in the first place. The US is the levered, volatile expression of the AI trade; Europe is the safer one.
- **The market has already priced the AI productivity story for the US, but not the fiscal relief that should come with it.** The USD 5y1y forward has moved from ~3.0% to 4.9% since mid-2025 some 150bp above our median neutral-rate estimate and 90bp above the top of our estimate range, and more than the full +67bp our model assigns to the AI enhanced neutral-rate range over the next decade. What isn't priced at all is the fiscal collateral improvement, worth –85bp to the US 10Y by the end of the horizon. Either the market doesn't believe AI will repair the fiscal trajectory, or it's pricing a less favorable version of the same story with higher AI-driven job displacement pushing up social protection and unemployment spending enough to offset the tax-revenue gain.
- **Fiscal collateral – the extent to which a stronger economy makes a government's debt easier to repay – is what actually decides the outcome, in both scenarios and both regions.** The transatlantic rates converging seems counterintuitive at first view as Europe's growth impulse is a third the size of the US. But its fiscal position benefits more, because the improvement lands on a stable debt path rather than the expansionary US path. For every point of growth AI delivers, Europe's fiscal position improves about 1.6 times more than that of the US.
- **The way AI interacts with interest rate isn't a straight path, and its shape differs on each side of the Atlantic.** Both curves rise well above their eventual resting point before reversing, the US 10Y's round trip is 135bp (versus 80bp for the eurozone) even though the net 10-year effect is only –50bp for both. The peak trade also looks different in each market: a butterfly in the US (buy the belly, sell the wings, as front-loaded micro effects hit the wings while macro effects lag into the belly) versus a flattener in Europe. By the end of the period both curves converge to a similar, milder flattening.

AI is no longer only a sector story, but a macro-scale claim on the economy.

Artificial intelligence (AI) has become a major macroeconomic force. AI investment will pass USD1tn globally in 2026, of which more than USD500bn in the US alone. That is 1.8% of US GDP and 0.9% of world GDP, on a path to 2.8% and 1.4% respectively by 2028. In terms of growth, tech and data center activity will represent 36%-50% of US year-on-year growth this year. Globally, the direct AI investment impulse is worth roughly 10% of global growth. From the financial markets side, AI has mostly been examined through the lens of equities ([sector analysis](#), [valuation](#), concentration risk), or private credit ([risk profile](#) and risk pricing of [AI investments](#) types (see our latest reports here linked here). This paper asks how the AI supercycle transmits into interest rates..

US and eurozone vary in the level of macro impact, but share similar profile

We model the effect against a baseline without AI effects, measuring the difference versus an AI upside scenario and one in which AI shifts to the downside. We use several published estimates to derive scenarios for the impact on potential growth, trend productivity and trend employment. We define an upside scenario with cumulated potential growth gains of +4.94pp in the US and +1.60pp in the eurozone; in the downside we assume -2.47pp in the US and -1.35pp in the eurozone. The US macro scenario shows much greater sensitivity to AI, while Europe has less to gain in terms of productivity. The pattern is similar for inflation, where in the upside scenario the US faces a stronger supply- and energy-driven uptick, before higher productivity gains take over and reverse the AI impact into a disinflationary trend. Inversely in the negative scenario, the negative AI demand shock brings US inflation further down than it does in the eurozone (Table 1).

Table 1: Macroeconomic scenarios

Scenario	US Δ potential growth (pp)	EA Δ potential growth (pp)	US peak inflation	EA peak inflation
Downside	-2.47	-1.35	+0,35	+0,25
Upside	+4.94	+1.60	-0,35	-0,25

Sources: Allianz Research

Our framework rests on five major transmission channels

We identify two major channels of transmission: 1) a *macroeconomic channel* through potential growth, inflation dynamics and the fiscal position (plus a spillover effect for the eurozone), and 2) a *microeconomic channel* through the changes AI financing brings to the structure of fixed income markets. The latter has gained importance recently as market participants have discussed the possibility that AI debt issuance was competing with US government debt and therefore contributing to driving up yields. The macro channels capture the changes in the way long-term rates discount economic variables. The micro channels capture how the AI funding model (market size, self-funded vs debt issuance) affects the price of duration. Macro and micro channels work on different lags, and their effects can change sign over our 10-year forecast horizon. Generally, the macro channels affect the expected rate component of long-term rates, while micro channels act on the term premium. The exception is the fiscal position which, despite being a macro channel, affects the term premium component of long term government bond yields.

- 1) **Neutral rate r^*** is the real policy rate at which the economy neither overheats nor stalls. It is the level the expected path of short rates is anchored to. If AI raises trend productivity, capital earns more, firms want to invest more, and the neutral rate balancing saving against investment rises. A lasting productivity gain therefore lifts r^* which feeds through the entire yield curve. It has a stronger effect at the front end as it transmits through expected short rates, and productivity gains have a long-term mean reverting trend. The effect is inverted in case AI would fail to produce productivity gains in an economy facing a debt overhang from AI investments.
- 2) For **inflation expectations** we use an adaptive expectation approach where the estimation windows adjust with previous estimation errors. As AI has a strong supply impact at first, we get upside push in expectations

that fades with time when productivity gains take over. As the phase in becomes smoother, the change in expectation is less pronounced to the downside. These factors also influence the expected rate component of government bond yields.

- 3) **Fiscal collateral** is defining the fundamental value of sovereign bonds as discounted claims on future primary surpluses. The channel captures its change in response to an AI-driven up- or downside productivity shock. A productivity shock has an asymmetric effect: tax revenues improving the fiscal position are elastic to GDP, while the largest spending lines (pensions, benefits, debt service) are sticky.
- 4) **Duration supply** is a market-microstructure model tracking AI capex as a generator of new duration, through both long-dated IG bonds and pay-fixed swap structures in private credit. The curve effect sits at the long end as 65% the supply lands beyond 10 years. The swap spread effect depends on fixed-rate issuance, which cheapens the sovereign against swaps while pay-fixed hedging from private credit, enriches it. Duration supply affects the term premium, it is more pronounced at the longer end of the curve.
- 5) **Crowding Out** is a sector-level displacement model affecting long-term rates via the swap-market. Financial institutions issue fixed-rate bonds and then ask for floating, receiving fixed in swaps. That receive-fixed leg is how financial issuance moves duration out of the sovereign market. AI borrowers sit on the opposite side of the swap curve, paying fixed rather than receiving it. So both channels lift swap yields against the sovereign: one adds fixed-payer supply, the other removes fixed-receiver demand. Like duration supply, crowding-out affects the term premium at the longer end of the curve.
- 6) **Spillover Effect** is added for the eurozone, acting mainly at the long end, where global term premia and rate levels remain structurally correlated and anchored to the US benchmark. It captures how AI effects propagate to global fixed income markets via the US Treasury market, even where AI exposure is limited.

Table 2: AI transmission channels to interest rates

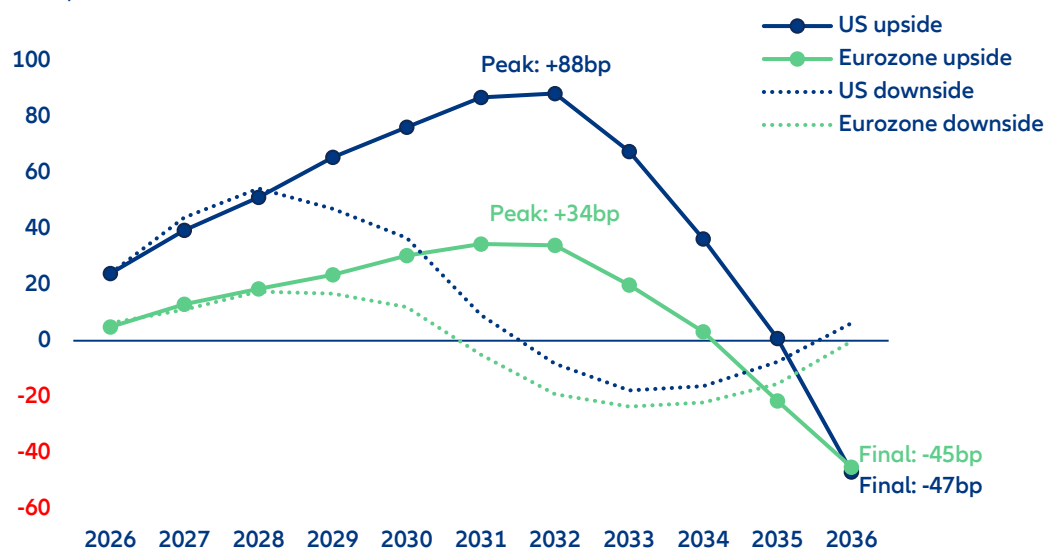
Side	Channel	Mechanism	Curve impact	Direction in Upside	Direction in Downside	Model	Effect on
Macro	Neutral rate r^*	Higher trend productivity raises the return on capital and lifts the equilibrium real rate	Short end	Up	Down	Holston, Laubach & Williams (2023), Ferreira, Lott & Richards (2025)	Expected rates
Macro	Inflation expectations	The capex boom is a demand shock before it is a supply shock; productivity offsets arrive later	Short end to Belly	Up, then down	Up, then down	Adaptive expectation model, Bartholon (2014)	Expected rates
Macro	Fiscal collateral	Productivity growth lifts the PV of future primary surpluses; government debt has a positive productivity beta	Belly to Long end	Down	Up	Kung, Lustig & Paron (2025), Gómez-Cram, Kung & Lustig (2025)	Term premium
Macro	Spillover (only eurozone)	International correlation structure	Belly to Long end	Up	Down		Expected rates + Term Premium
Micro	Duration Supply	Long-dated AI bond supply prices duration. Floating private-credit borrowing swapped to long fixed via pay-fixed swaps	Long end	Up / steepening	Up / steepening	De Vere, Ramaswamy & Searls (2026)	Term Premium
Micro	Crowding out	AI issuers displace financials, who recycle duration back into the sovereign market via receive-fixed hedging,	Long end	Up / steepening	Up / steepening	De Vere, Ramaswamy & Searls (2026)	Term Premium

Sources: Allianz Research

The AI super cycle is a bull market for duration, but it is not a directional trade

Our results show that AI is a bull market for duration in both scenarios, but the path matters. In the upside scenario, AI lowers long-term rates by around 50bp over a 10-year horizon in both the US and the eurozone. In the downside scenario, rates are also held down for a prolonged period. In both cases, however, yields rise before they fall: the US 10Y makes a 135bp round trip in the upside and 72bp in the downside, against 80bp and 41bp for the eurozone. The AI effect on rates is therefore not a long-term directional trade, the right timing is essential. The timing depends on which channels dominate when, how long they take to act and where on the curve they bite hardest. That makes the shape of the curve as important as the yield level for positioning (Figure 1).

Figure 1: Net AI effect on the 10Y yield – Upside and Downside scenarios
in basis points



Sources: LSEG Datastream, Allianz Research

The end points for the US and the eurozone are remarkably close, even though the two start from very different positions in the AI race. The fiscal collateral channel explains why. Europe gets only a moderate growth impulse, but it lands on a stable fiscal position, which improves the value of its fiscal collateral significantly. The US gets a much larger growth impulse, yet the gain is partly offset by continued fiscal expansion over the next 10 years (we use the CBO forecast of debt/GDP rising 20pp over the next 10 years). With a stable debt path, the increase in US fiscal collateral value would subtract 125bp rather than 85bp, lifting the total effect to -90bp and leaving the eurozone far behind. The transatlantic AI rates convergence is thus a late-cycle outcome: at the peak, the AI effect is more than twice as large in the US as in the eurozone.

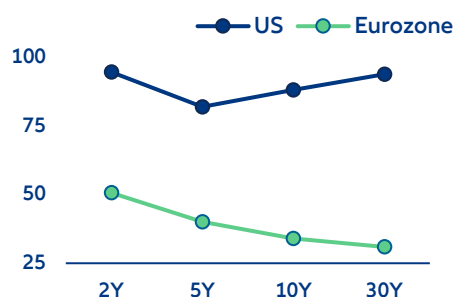
The US curve rotates between the peak and the end of period due to micro effects

At the peak of the upside scenario, the US curve shifts up, but with the middle of the curve (belly) holding up better: the 2s30s slope barely moves while 2s5s flattens 13bp and 5s30s steepens 12bp. The peak AI trade on the US curve is therefore a butterfly (buy the belly, sell the wings). In the eurozone the peak AI effect on the curve is a flattener instead: 2s30s -20bp, with the 2Y up 51bp against the 30Y up 31bp. This shape difference is driven by the stronger and front-loaded US micro channels, set against macro channels that arrive with a lag. In addition to the time lag, macro channels (neutral rate, inflation expectations) act mainly at the short end, while the micro channels hit the long end because AI issuance is long-dated. The 5Y sits in between: it absorbs little of the duration-supply and crowding-out pressure, yet is long enough to benefit from the improving fiscal collateral effect on its term premium. By the end of the period, both curves flatten to a similar degree as fiscal collateral value becomes the dominant force, pulling the belly and the long end down while the 2Y is barely affected (US 2s30s -41bp, EA -30bp). In the

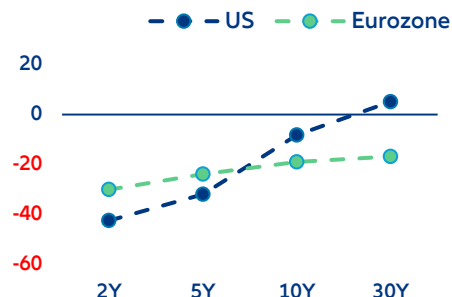
downside scenario the curve steepens instead, with the slope rising in the 5-10y segment within three years – first more strongly in the US, then converging towards to the eurozone the end of the period. In a AI downside ends the curves would steepen in both regions as the front end collapses on policy easing while the long end sells off on fiscal deterioration (US 2s30s +41bp, EA +24bp) (Figure 2 & 3).

Figure 2: Net AI effect on curve shapes – Peak vs Terminal values
in basis points

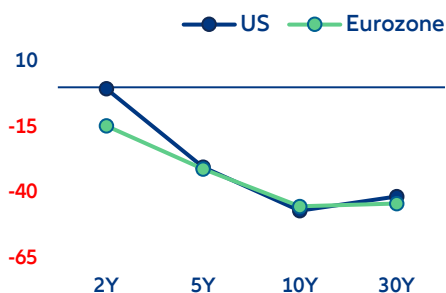
Peak in 5 years - Upside scenario



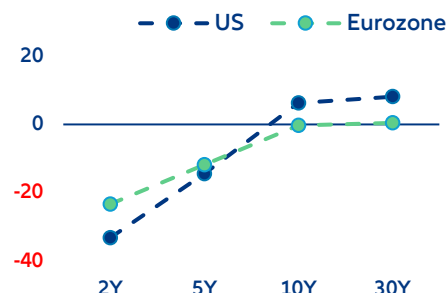
Peak in 5 years - Downside scenario



Terminal in 10 years - Upside scenario

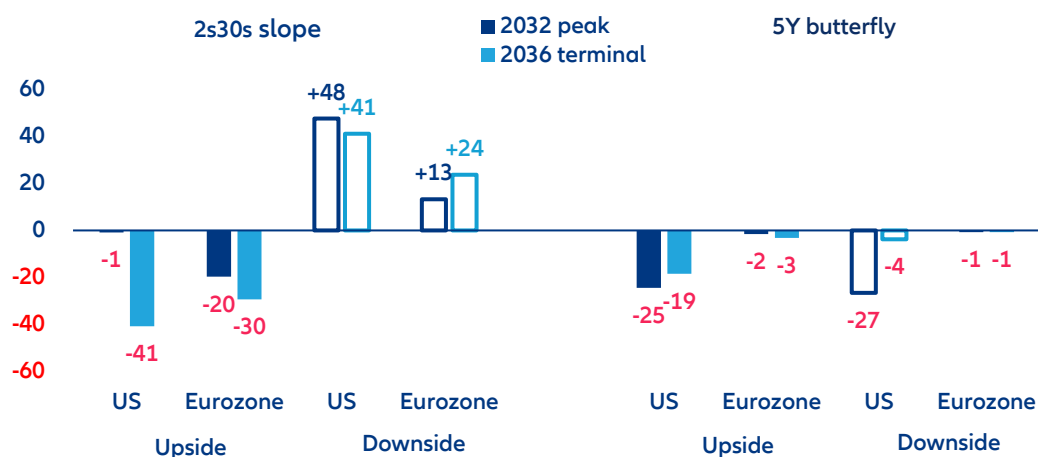


Terminal in 10 years - Downside scenario



Sources: LSEG Datastream, Allianz Research

Figure 3: Net AI effect curve shapes – Butterfly on the US curve vs flattener on the euro curve
in basis points



*5Y butterfly = $2 \times 5Y$ minus $2Y$ minus $30Y$. Negative means the belly richens against the wings.

Sources: LSEG Datastream, Allianz Research

Microeconomic channels and inflation move first, the fiscal channel decides the end point

Having looked at the way AI effect the changes in yield levels and the influences the shape of the curves, we now turn to the decomposition of the moves: which channels drives the yield and curve dynamics, how much each contributes and when. The sequence is the same in both scenarios: micro channels and inflation expectations drive rates early on, while the fiscal channel and the neutral rate r^* only kick in later.

In the upside scenario, the peak arrives when productivity gains lift r^* while inflation expectations are still elevated and the micro channels are still at work but before higher growth has significantly fed through to tax revenues rising the value of the fiscal collateral. For the US at the peak in 2032, r^* alone contributes +67bp against -18bp from the fiscal channel. By the end point the picture reverses: the fiscal channel contributes -85bp, r^* slows down to +42bp and inflation expectations flip to -18bp as the disinflationary effect of productivity gains sets in. Europe follows the same sequence at roughly half the amplitude, reflecting its lower sensitivity to AI.

In the downside scenario, rates first move up, driven by inflation expectations on the back of AI investment and energy demand. In the US, the micro channels add another 20-30bp from AI-related issuance. The tipping point is in 2031: productivity gains fail to materialize and the debt overhang starts weighing on growth, which later erodes tax revenues, increases government spending and reduces value of the fiscal collateral. In the eurozone the micro channels are negligible, but the spillover from US rates matters.

The greater US sensitivity also shows up in the gross channel activity, i.e. the sum of all channel contributions in absolute terms. In the upside it amounts to 158bp in the US against 78bp in Europe for a broadly similar final outcome. In other words, much more happens under the surface in the US, but most of it cancels out: only 30% of the US channel activity is left once the channels are netted against each other, compared with 58% in Europe. The AI journey is therefore likely to be bumpier for US rates than for eurozone rates, even if both end up in a similar place. The AI effect should therefore translate into relatively higher US rates volatility (Figure 4 & 5).

Figure 4: Channel contributions to the 10Y - Upside and Downside scenario
in basis points

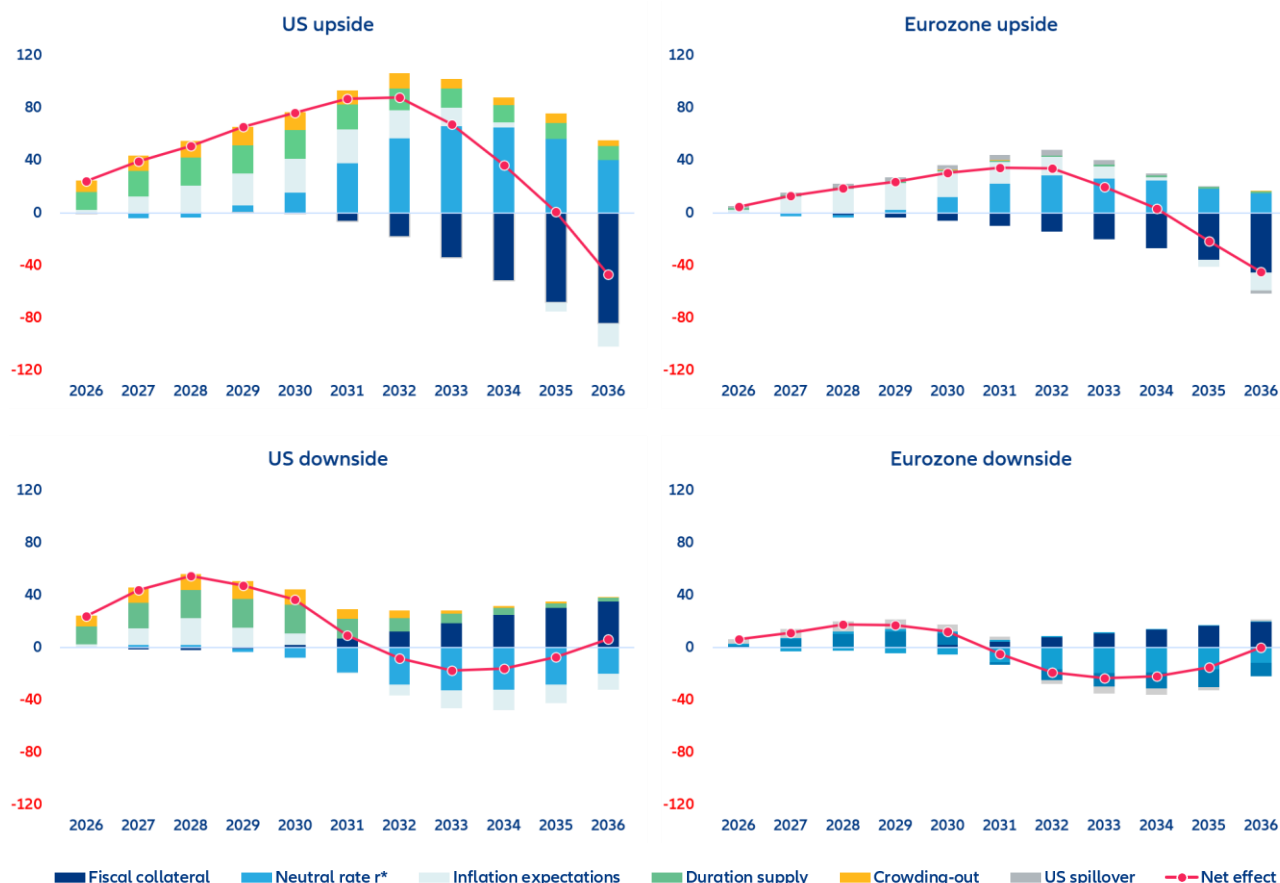
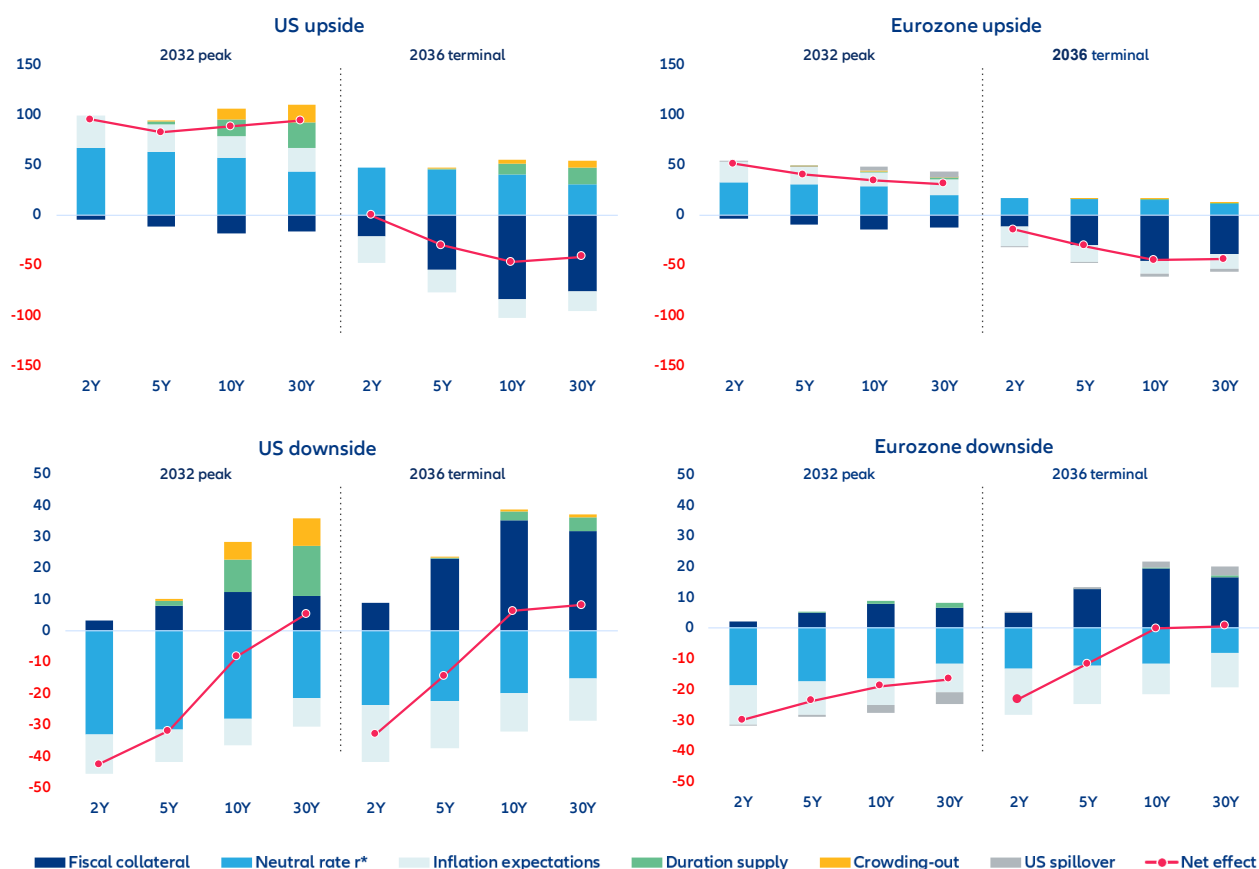


Figure 5: Channel contribution at every point of the curve: peak and terminal (basis points)
In basis points



The fiscal channel has the last word – and the US needs the AI dividend more than Europe

We find no transatlantic divide in the long-term AI effect on rates. At the end of the period the US and eurozone 10Y effects are only a few basis points apart in both scenarios. But the path to that point differs materially in level, drivers and timing. The convergence of the end points is attributable almost entirely to fiscal channel. Fiscal collateral contributes –85bp to the US terminal effect in the upside and –46bp to the eurozone, in both cases more than the channels working in the opposite direction, principally the neutral rate r^* effect.

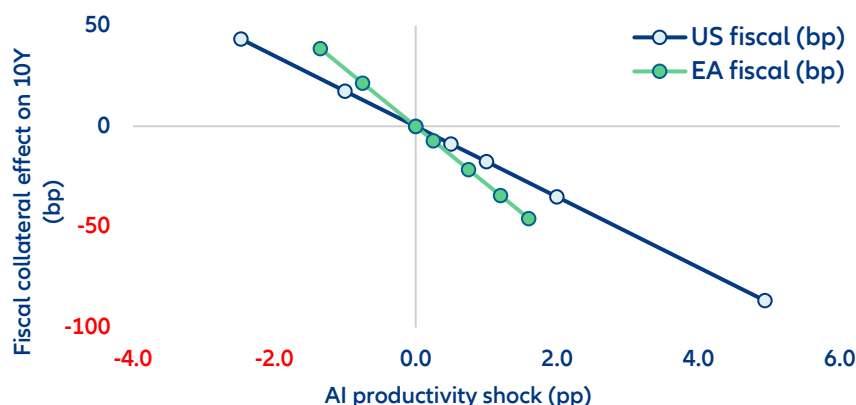
The mechanism is the productivity beta of government debt. A positive productivity shock raises tax revenues by more than the GDP gain, so the present value of future primary surpluses improves and the bondholder is effectively long AI productivity. Europe is disadvantaged here, as its tax revenues are less sensitive to GDP (also because AI growth is tilted versus US and less taxable by European governments) but its spending is also more sticky, as Europe is more exposed to negative labor market effects caused by AI. On the other hand, the fiscal trajectory of Europe is more favorable, with a rather stable debt to GDP ratio projection of 86% for the next 10 years. Over the same time period, the CBO sees US debt growing to 20pp of GDP.

What differs between the two markets is the debt path on which that improvement lands: deteriorating in the US, stable in the eurozone. The US is therefore the more dependent of the two on the AI productivity call actually being realized, as it needs the additional revenue to sustain its current expansionary fiscal stance, whereas the eurozone would maintain its debt trajectory even without the AI dividend.

On our calibration, Europe's fiscal-collateral beta is 1.6x the US per point of growth delivered, notwithstanding the more favorable US elasticities (higher revenue elasticity, lower spending elasticity). The difference lies in the denominator: a smaller debt stock (EUR14tn against USD40tn), a lower starting yield, a lower baseline real rate

and a flat baseline debt path against a deteriorating one, with the CBO projecting US debt rising 20pp of GDP by 2036. Europe is therefore the higher-beta expression of the AI fiscal call. But the result is conditional on the AI rent being booked in the US; were it to leak offshore, the US fiscal leg would weaken materially and Europe's relative advantage would widen further (Figure 6).

Figure 6: Europe has a 1.6x fiscal collateral beta per point of growth



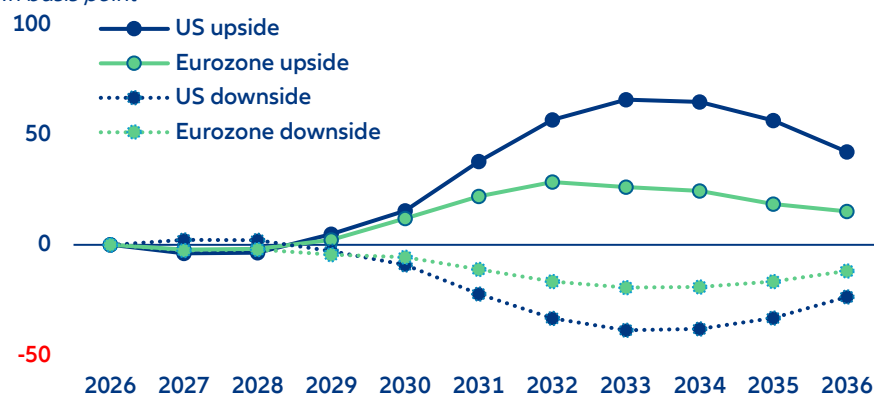
Sources: LSEG Datastream, Allianz Research

The neutral rate: bigger in the US, more decisive in Europe

The r^* channel is larger in the US but more decisive in Europe. In the US upside it is the biggest single positive contribution at both moments, +67bp at the 2032 peak and +42bp at the 2036 end point, but it sits inside 158bp of gross channel activity and is therefore largely netted away by the other channels. In the eurozone it is effectively the only positive channel left at the end of the period, at +15bp. Both paths rise with a delay, starting two to three years from now. The US path runs much higher but also mean-reverts more strongly later on, so the gap to the eurozone, which follows a smoother path, narrows over time. In the downside the paths are less pronounced and the two regions are closer together: the absolute impact is stronger in the US, while the eurozone shows the higher sensitivity relative to its own starting point.

Figure 7: AI effect on neutral rate r^* in different scenarios

In basis point



* based on neutral rate models from Holston, Laubach & Williams (2023) and Ferreira, Lott & Richards (2025)

Sources: LSEG Datastream, Allianz Research

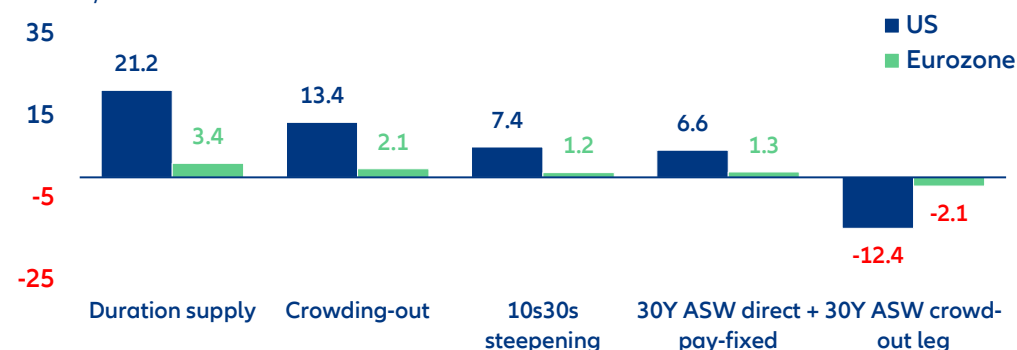
AI issuance is affecting the US treasury market, the euro market is untouched for now

The micro channels are a US story: the US dominates AI-related debt issuance and duration supply. In the eurozone the effect is still small, with EUR-denominated AI issuance accounting for around 1% of the corporate benchmark

indices and 10% share of global AI-related debt issuance. But it could change if reverse-Yankee AI bond issuance picks up in the coming years. On our estimates, however, euro issuance volumes would have to be around 10 times higher, increasing by min 20-25% p.a. to move eurozone rates to a comparable degree. Direct duration supply remains the dominant one at the peak. Together they add 34bp to the US 10Y at the peak, against 25bp today, and both steepen the curve as they act mainly on longer maturities. The effect on asset swap spreads (ASW) is positive through the direct pay-fixed leg, but negative through the crowding-out leg (Figure 8).

Figure 8: Peak impact of AI micro economic channels on 10y yields, slope and ASW

In basis points



* based on De Vere, Ramaswamy & Searls (Dallas Fed, Feb 2026)

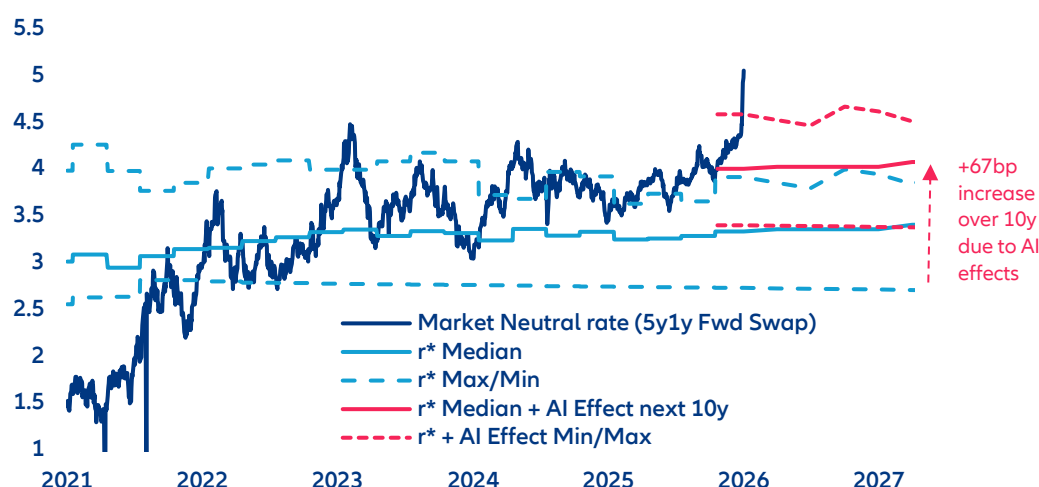
Sources: LSEG Datastream, Allianz Research

The market prices the AI productivity gain, but not the fiscal relief that should come with it

In the US, the rates market has already fully priced the productivity leg of the AI story. The 5y1y forward swap has climbed from 3.0% in mid-2025 to 4.9%, against a median neutral-rate estimate of 3.4% and range of 2.7-4.0%, which puts the market-implied neutral rate some 150bp above the median and 90bp above the top of the band. Our AI models would add +67bp to current estimates pushing the range to 3.3-4.67% – a range the market already exceeds. What is missing from the current AI narrative pricing is the other side of the same story: the fiscal collateral improvement that these productivity gains should bring, worth –85bp on the US 10Y over the next ten years. That leg arrives with a much longer lag, as it takes a visible turn in tax receipts to shift the narrative (Figure 9). We would therefore read the current level as a temporary mispricing rather than a challenge to the fiscal leg of the AI story. The front-loading of the productivity channel builds up correction potential.

Figure 8: Markets have already priced in the entire AI productivity gains for the next 10 years

In percentage points



Notes: neutral rate range based on Lubrik & Matthes (2015), Holston, Laubach & Williams (2023), Ferreira, Lott & Richards (2025), Laubach & Williams (2003), Hördahl & Tristani (2014), Del Negro et al. (2017) and Allianz proprietary model; AI enhanced neutral rate based on Holston, Laubach & Williams (2023) and Ferreira, Lott & Richards (2025)

Sources: LSEG Datastream, Allianz Research

These assessments are, as always, subject to the disclaimer provided below.

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